



iBank Weekly - Macro

Oct 02 – Oct 06, 2023

Macro

Core PCE has slipped to 3.9%, expecting it to continue declining

Policy

US Congress avert shutdown by passing Temporary Spending Bill

Labor Market

UAW Joins Wave of Union Strikes
Looking for Big Wins

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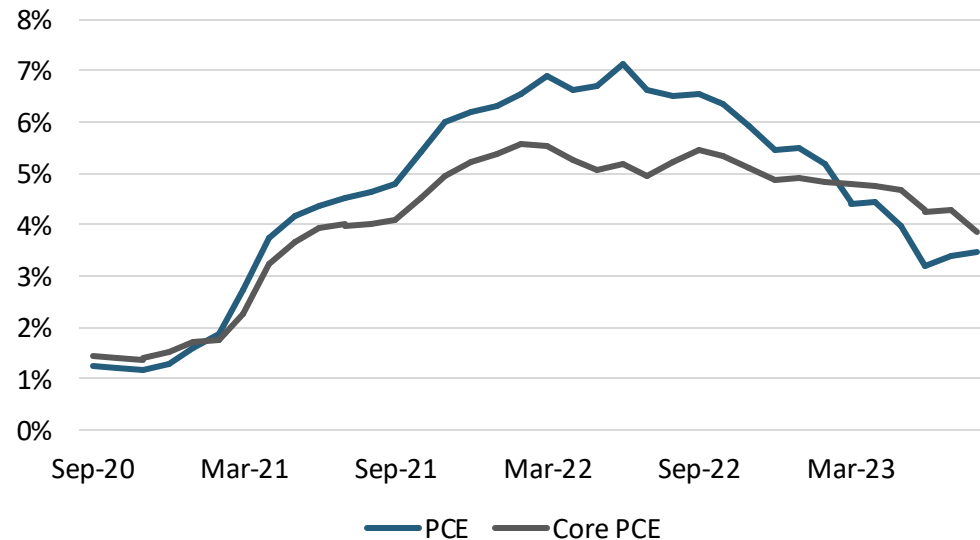
Core PCE has slipped to 3.9%, expecting it to continue declining

October 3, 2023

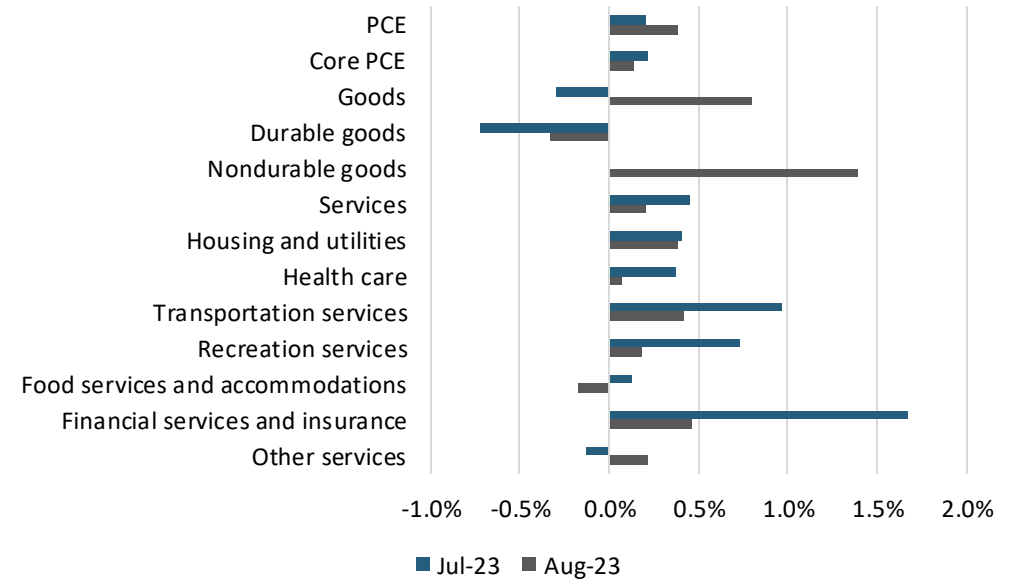
Key Takeaway

- Services inflation has been gradually declining to 4.92%, primarily driven by delayed responses in housing and healthcare services to actual inflation. The expected rise in energy prices is likely to dampen the consumption power of other goods and services, hence having minimal impact on core inflation.
- Core PCE has slipped to 3.9%, the lowest since July, 2021. It's mainly because of the decline in services.

Personal Consumption Expenditures Index (YoY)



Price indexes for PCE by type of product (MoM)



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- Despite the current high value of service inflation, given the evident downward trend in overall service inflation and our expectation that the increase in energy prices is temporary, the impact on core inflation is limited. Moreover, interest rates are currently sufficiently restrictive, making the probability of another rate hike by the Federal Reserve low.
- The consumption of durable goods decreased by 0.6%. However, the index of Durable Goods Orders for August is MOM+0.2% above the -0.5% consensus, which illustrates confidence among business owners that the future is bright.
- The percentage of nondurable goods in PCE increases by 1.45%. However, the index of Nondurable Goods for August is MOM +1.35% and core PCE is +0.13%. Therefore, changes in nondurable goods do not have much correlation with changes in PCE.
- The change of service for August accounts for the change in core PCE more.

US Congress avert shutdown by passing Temporary Spending Bill

Oct 04, 2023

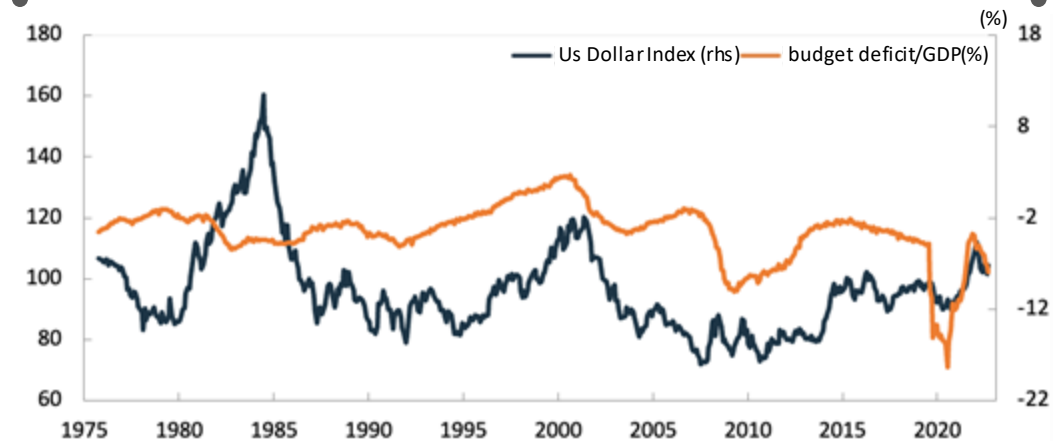
Key Takeaway

- The US House of Representatives made revisions to the temporary spending bill on September 30th, including significant cuts in fiscal expenditures by the Republicans. The Democrats also made concessions on military aid to Ukraine. This is a 45-day temporary spending bill, preventing a government shutdown on October 1st, and allowing the government to continue operating until November 17th.
- According to historical experiences, a one-week government shutdown has approximately a 0.1-0.2% impact on the US economy. However, these losses can be restored once funds are in place and wages are disbursed; hence, market isn't particularly concerned about temporarily shutdown.

Historical Congress Shutdown

Period	Duration	Congress Shutdown		
		S&P 500	Global Inv. Grade Bond	US High Yield
1995/12/15 - 1996/01/06	21d	0.20%	0.80%	1.30%
2013/10/01 - 2012/10/17	17d	2.40%	1.10%	1.30%
2018/01/20 - 2018/01/22	3d	0.80%	-0.10%	0.10%
2018/12/22 - 2019/01/25	35d	10.40%	1.30%	4.20%
Average	19d	3.40%	0.80%	1.70%

The ratio of US deficit to GDP



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- Whether there will be a shutdown in November depends on the progress of the new fiscal year budget in U.S. We consider that it will not have a significant impact on the economy even if shutdown happens, since any reduction in economic growth will be compensated once the government reopens.
- If the shutdown lasts for an extended period or occurs continuously, it could impact market confidence. Therefore, the duration of the shutdown is much more important than the shutdown itself.
- The ratio of US deficit to GDP has reached around 8%, which may lead to further rise of US dollar. The ICE U.S. Dollar Index, rose by 0.75% to reach 107.02 this week, marking the first time it has surpassed 107 since last year November.
- The U.S. government shutdown crisis highlights that fiscal extravagance could potentially stimulate issuance, causing U.S. Treasury bond prices to plummet and leading to declines in other bond markets, which proving that the U.S. dollar is the only significant safe haven.

UAW Joins Wave of Union Strikes Looking for Big Wins

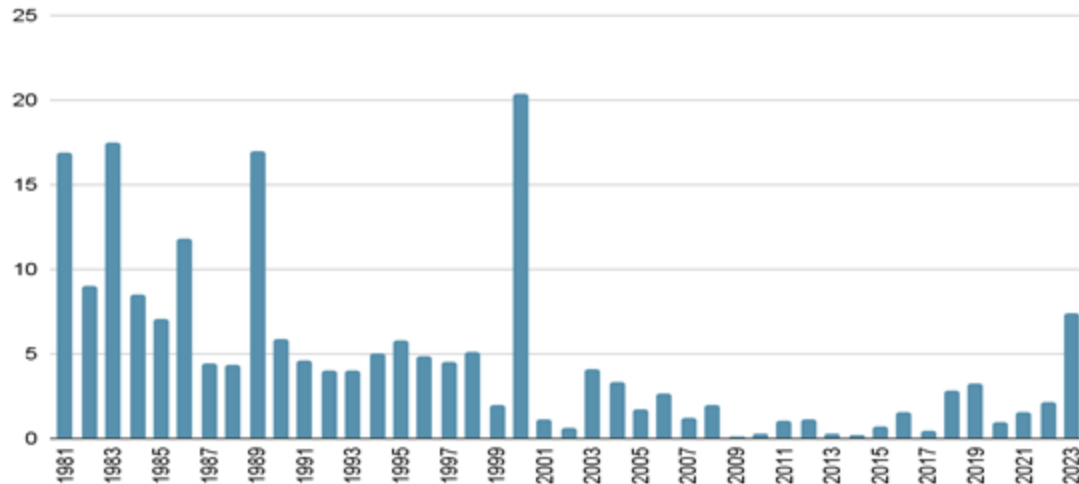
Oct 6, 2023

Key Takeaway

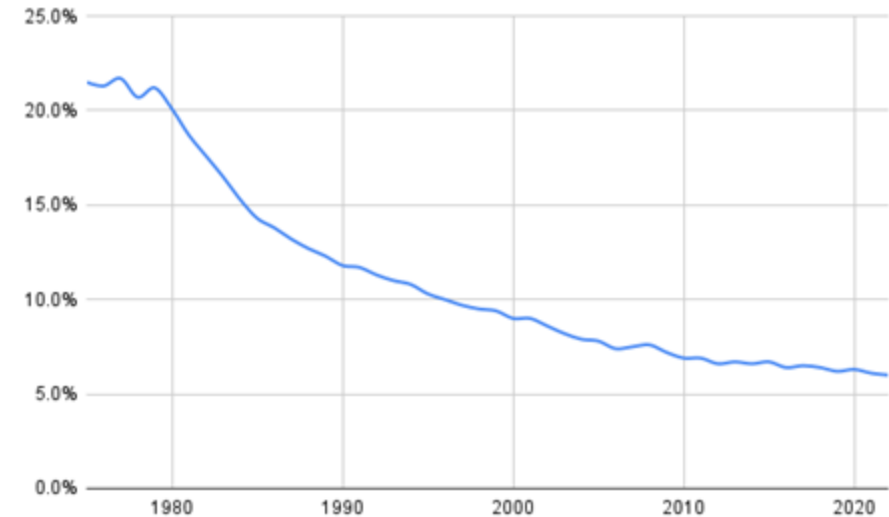
- The main reasons behind the wave of strikes in the United States are as follows: high inflation leading to an increase in the cost of living, a labor shortage, and an increasing number of successful cases.
- The U.S. lost more than seven million workdays because of labor disputes this year through August, more than any full year since 2000—and the figures don't include the United Auto Workers strike that started earlier this month.
- Besides the strikes of the UAW, the largest healthcare industry strike against Kaiser Permanente is going on nationwide.

Days of work lost due to labor disputes

(million)



Labor-union membership, as share of total private-sector workforce



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- While the current wave of strikes is gaining momentum, the scale of the industries or companies involved in these strikes is relatively small. For instance, the automotive industry accounts for only 3% of the U.S. GDP. Therefore, we believe that this strike wave is unlikely to have a significant impact on the U.S. economy.
- In addition to the setback for automotive chip stocks, Coupled with the impact of high interest rates on consumer demand, the outflow of ETF funds targeting the automotive industry indicates that investors are taking a cautious stance towards the automotive sector.
- JOLTS shows job openings in Aug. is 9.6mn, higher than the expected 8.8mn. ADP shows private employers added 89,000 jobs in Sept., lower than the expected 153,000. Labor market is still quite hot but slowing down a little bit. Under this condition, union strike may not have real impact on inflation.

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